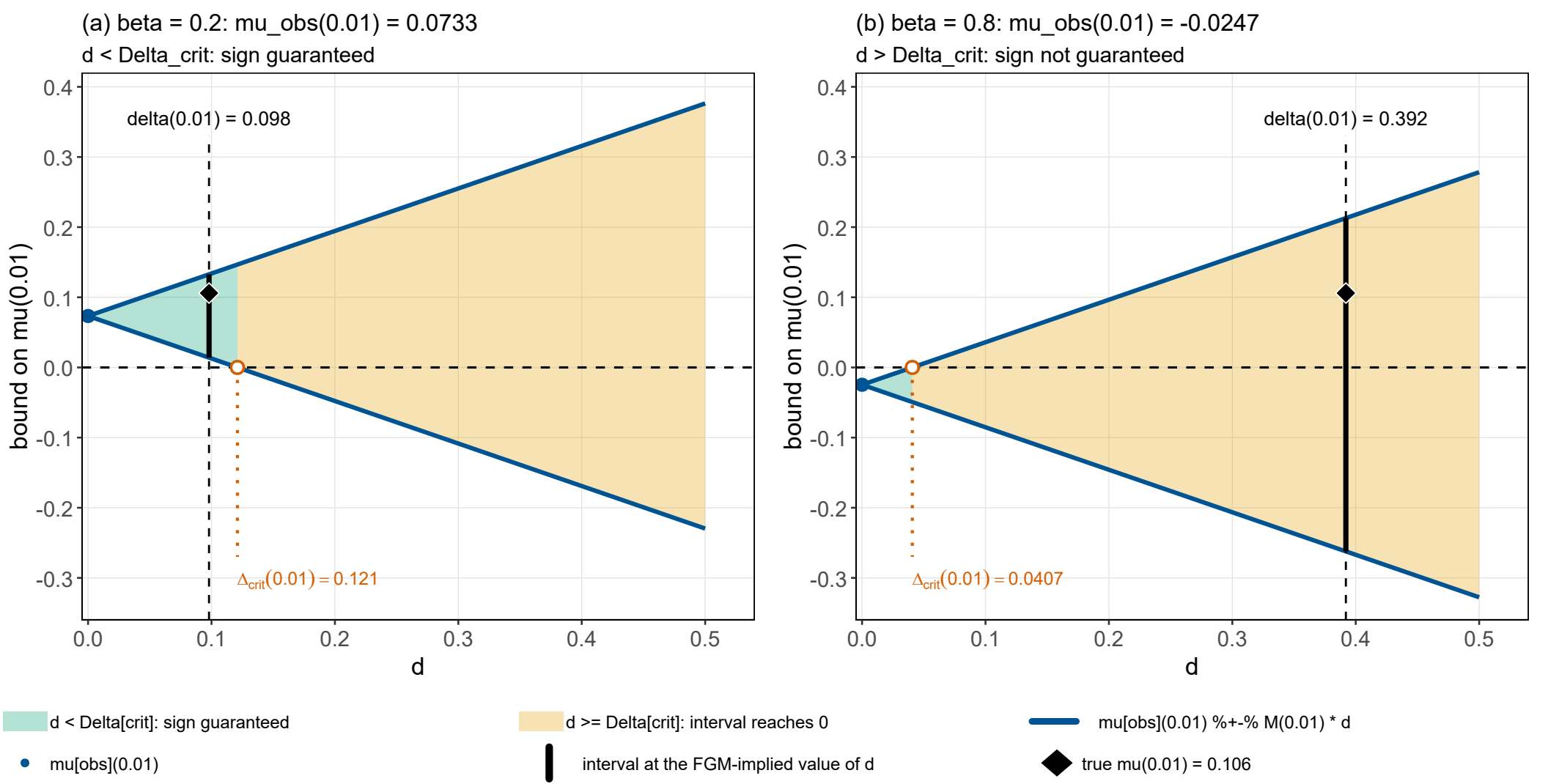
(a) beta = 0.2: mu_obs(0.01) = 0.0733
d < Delta_crit: sign guaranteed
delta(0.01) = 0.098
Δcrit(0.01) = 0.121
bound on mu(0.01)
d
(b) beta = 0.8: mu_obs(0.01) = -0.0247
d > Delta_crit: sign not guaranteed
delta(0.01) = 0.392
Δcrit(0.01) = 0.0407
bound on mu(0.01)
d
d < Delta[crit]: sign guaranteed
d >= Delta[crit]: interval reaches 0
mu[obs](0.01) %+-% M(0.01) * d
mu[obs](0.01)
interval at the FGM-implied value of d
true mu(0.01) = 0.106